

Google” links you see. The advertiser pays Google when someone clicks on one of his ads (on your site). Google pays the “publisher”—that is, you—some of that money, and keeps some for itself.

The Problem

The obvious thing here is, if clicks on ads mean money, minds of the money-grubbing type find ways to generate clicks. Well, if you’re the publisher, you can’t just click on your own ads, sorry—Google just detects those as “invalid” clicks. Tell your office co-workers to click on them? Sorry again: same IP range, so they’re detected as invalid. Yes, Google does keep updating its technology to detect invalid clicks.

But it goes like this: someone—let’s call him a hacker—comes up with a new technique to make money off clicks. He uses his method and makes lots of money, *in the time that Google fixes that newly-discovered problem with AdSense*. And in that time, the advertiser loses money.

Which, naturally, leads to lawsuits. You’ve probably heard this headline at least once: “Google sued for click fraud.” Click fraud is *it*: the potential Google-killer. As a matter of fact, May 2004, there was this article by Garrett French (Managing Editor of *Search Engine Lowdown*) titled *Click Fraud: The Google Killer*. And the text went on: “Google listed click fraud as one of the potential ‘worries’ that would-be investors should consider. In fact, they admitted to regularly paying refunds because of click fraud and stated that they may have to make retroactive payments.”

Formally, from www.clickz.com, Yahoo! Sponsored Search defines click fraud as “clicks arising for reasons other than the good-faith intention of an Internet user to visit a Web site to purchase goods or services or to obtain information.”

Google is more specific, defining click fraud, “or invalid clicks, as any method used to artificially and/or maliciously generate clicks or page impressions,” as Salar Kamangar, Vice President of Product Management, once defined it.

Examples of invalid clicks, according to Kamangar, include manual clicks on an ad to purposefully increase the ad spend; deliberate clicks on an ad to increase profits by site owners hosting the ads; and clicks that arise from the use of automated clicking tools, bots, or other deceptive software.

The CEO

In May of 2005, Google CEO Eric Schmidt had said, in regards to click fraud, as reported by zdnet.com (emphasis placed by us): “One of the great technical challenges, which our computer scientists like, is detecting these at scale. We have been able to detect them, so it appears as though the problem, which I don’t think will ever go away, is both manageable and from a financial perspective at the company *it’s not material*.”

That was Google’s third lawsuit in the context of click fraud. But 9th August, 2006, at the Search Engine Strategies Conference, as reported by Google themselves at google.com, Schmidt was quizzed about click fraud by David Krane, then director of Corporate Communications at Google.

He had this to say: “As part of a litigation, which was settled, we produced a technical report which actually analysed this, which is now public information. We also have chosen to disclose what we estimate is the bad click rate on a per advertiser basis... I’ve also been misquoted by a number of people as somehow saying that this was not an important issue. It is an important issue that is under control. We have very good technical people. We have very good computers. We’re monitoring it. *It’s not material* to the company. It is important, and it’s not going to go away.

“It’s hard to know [the precise extent of click fraud] because we only know what we detect, but based on our estimates, the problem is manageable. And we have a lot of ways of detecting it, but I can’t make you an absolute guarantee, because you never really know.”

In other places, Schmidt has been reported as indicating that he didn’t think click fraud was a big deal in the long run. He is quoted as saying that the “perfect economic solution” to click fraud is “to let it happen.” This is perhaps what Schmidt was referring to when he said “I have been misquoted...”

Schmidt’s theory, as reported in July 2006 at blogs.zdnet.com: “Eventually, the price that the advertiser is willing to pay for the conversion will decline, because the advertiser will realise that these are bad clicks, in other words, the value of the ad declines, so over some amount of time, the system is in fact self-correcting. In fact, there is a perfect economic solution, which is to let it happen.”

We will not comment on Schmidt’s theory, but during that “eventually,” advertisers are paying for fraudulent clicks. Google gets “smarter” with each breach—at the cost of advertisers, of course.

And now, Manish Arora seems to have come up with something they haven’t gotten over yet...

The Lawsuits

In May 2006, the following appeared on networkworld.com: “Google has agreed to settle a class action lawsuit brought against it over the issue of click fraud, which some industry experts believe could seriously threaten the company’s main source of revenue: pay-per-click advertising. Google will pay as much as \$90 million to affected advertisers in attorneys’ fees and credits as part of the settlement.

“The case was filed in an Arkansas court against Google and other search engine operators and providers of pay-per-click ads, such as Yahoo and AOL. The lead plaintiff is Lane’s Gifts & Collectibles, which sells items such as dolls, figurines and teddy bears online, over the phone and by mail.” Now \$90 million is material—refer Schmidt’s comments alongside.

On Google’s official company blog, Nicole Wong, then associate general counsel at Google, wrote: “This agreement covers all advertisers who claim to have been charged but not reimbursed for invalid clicks dating from 2002 when we launched our ‘cost per click’ advertising program through the date the settlement is approved by the judge.”

It works the other way round, too. 15 November 2004, Google filed a suit against an Internet operation that it claimed “systematically” (from news.com) clicked on text ads. That case was amongst the first civil lawsuits to relate to click fraud. It charged that Texas-based Auctions Expert International signed up for a Google AdSense account, then “fraudulently clicked on the ads to profit from its pay-per-click system.”